

TO: Distribution

FROM: Thomas Saloun

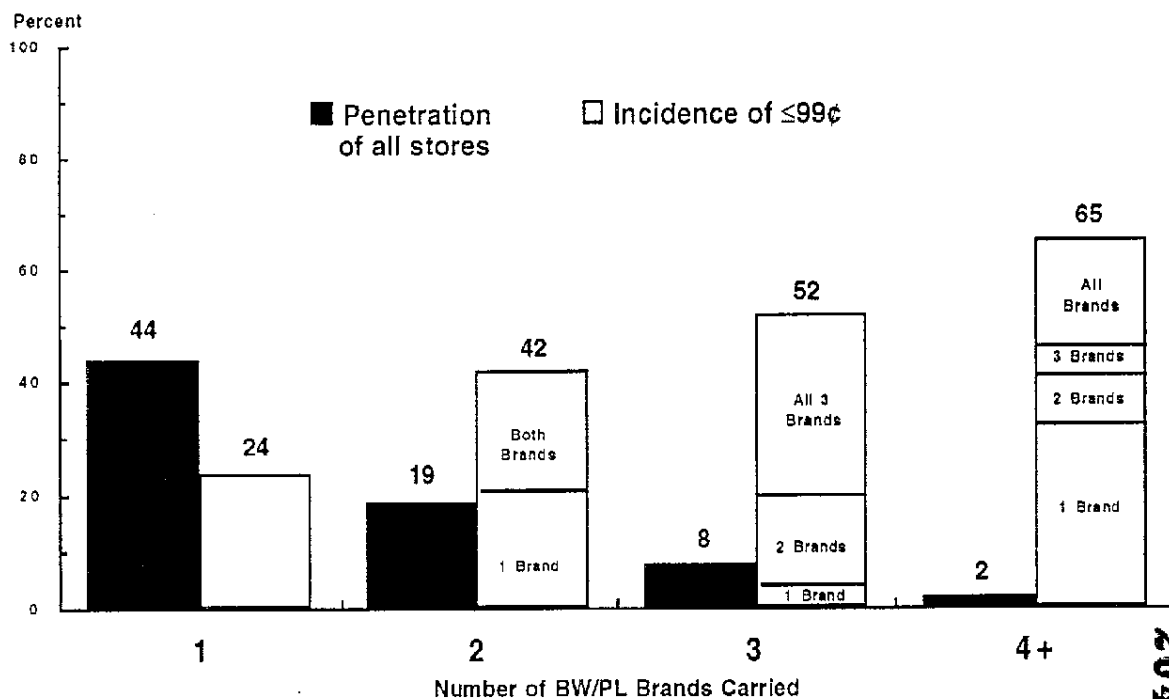
SUBJECT: Incidence of 99¢ Pricing

DATE: January 7, 1993

The more Deep Discount brands a store carries, the likelier a smoker is to encounter $\leq 99\text{¢}$ pricing. This is a further indication that, for the near term, incidence of $\leq 99\text{¢}$ prices is likely to climb along with BW/PL distribution, despite wholesale cost increases.

- Nearly half of all stores have only one BW/PL. About one quarter of these have a $\leq 99\text{¢}$ price point. This equates to about 11% of all stores.
- Nineteen percent of stores have two BW/PL brands, and 42% of these have an under-a-dollar price point: about half for only one of the two brands, and half for both stocked brands. While this represents only about 8% of all stores, the size of this group (as well as the group with more than two brands) is apt to grow in coming months. This growth, in turn, will result in higher incidence of $\leq 99\text{¢}$ pricing, as brands compete head to head.

Incidence of $\leq 99\text{¢}$ Pricing



Source: Retail Audits, 11/50/92; Prices net of coupons

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